

JAPAN ECONOMICS ANALYST

2026 Japan Economic Outlook: Steady Fundamentals, Policy Risks Ahead



- **Steady growth to continue in 2026, led by domestic demand:** We expect the Japanese economy to continue its steady growth and expand 0.8% in 2026. While external demand is expected to decelerate slightly due to factors such as Japan-China diplomatic tensions, we expect solid consumption and capex, supported by the structural shift to a labor shortage economy with continued high wage growth.
- **Underlying inflation to rise moderately amid continued high wage growth:** We expect the 2026 *shunto* spring wage negotiation to see a continuation of wage growth in the low-3% range. Against this backdrop, we expect service prices to rise, and underlying inflation to pick up moderately, although headline CPI inflation will likely decelerate mainly due to slowing food prices.
- **Monetary policy reaching crucial stage for sustainable achievement of 2% Inflation:** We expect the BOJ to accelerate its pace of rate hikes from once a year to semi-annually, with the policy rate reaching 1% with a 25bp hike in July 2026. The cost of delaying rate hikes is rising as underlying inflation approaches 2%. Our view on the terminal rate is 1.5%, equal to the neutral rate level, but if rate hikes are delayed under the Takaichi administration, the BOJ may consequently need to raise the policy rate to a restrictive level exceeding the neutral interest rate.
- **A year to assess the impact of the expansionary fiscal policy on fiscal soundness:** Japan's government debt-to-GDP ratio has continued to decline even after the large supplementary budget by the Takaichi administration, and fiscal soundness has been maintained. However, if permanent tax cuts and spending increases are implemented, the debt-to-GDP ratio will likely return to a long-term upward trend, and fiscal soundness could be jeopardized. A further rise in market interest rates will also eventually lead to an increase in the debt-to-GDP ratio, so securing market confidence in fiscal policy and appropriate debt management policies will become even more important.

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Executive Summary

Sturdy global growth, with contributors varying across countries: Our global economics team expects sturdy global economic growth of 2.8% in 2026, similar to 2025. For the US, we forecast 2.6% growth in 2026, as economic headwinds from tariff-related price increases and uncertainty recede, while easier financial conditions and tax cuts provide support. The global labor market has been soft, partly due to productivity growth, and particularly in the US, 2026 will likely be a year with a rising unemployment rate despite solid growth. In China, we expect 2026 growth to hold up well at 4.8%, with export growth outweighing sluggish domestic demand. As for Europe, which faces long-term challenges, fiscal stimulus in Germany will likely underpin growth in the Euro area, where we expect real GDP growth of 1.3%.

Japan's Domestic demand is firm, with limited risks to fundamentals: We forecast a steady real GDP growth of 0.8% in 2026, led by domestic demand. We see real private consumption growth of 0.9%, supported by continued wage growth and decelerating inflation, leading to improvements in real wages. Policy support for households amounting to 0.4% of disposable income, would also support consumer spending at the margin. We also expect capex to maintain its upward trend. Amid continued high levels of corporate profits, we expect software investments to address labor shortages and R&D spending, which are less cyclically affected, will drive capex growth. We do not see any major risks to the domestic economy, as the solid domestic demand stems from the structural shift to a labor shortage economy with continued high wage growth. While our GDP growth forecast for CY2026 is 0.8%, lower than the 1.2% in CY2025, this is primarily due to a special factor in private consumption in 2025Q1 (discussed later). We believe the underlying growth trend will improve in 2026, with Q4/Q4 growth projected to accelerate from 0.7% in 2025 to 1.1% in 2026.

Exports expected to decelerate slightly, reflecting China risks and other factors: Export volume to the US has remained generally flat even after the imposition of the Trump administration tariffs, and this is likely due in part to Japanese exporters effectively absorbing the tariffs by lowering their USD-denominated export prices, thereby suppressing selling price increases in the US. We estimate the downward pressure on Japan's GDP due to Japan-China diplomatic tensions via two main channels – a decrease in exports to China, and a decrease in tourists from mainland China and Hong Kong – to be at most around 0.2 pp. We forecast the contribution of external demand to GDP growth at -0.1 pp in CY2025 and -0.2 pp in CY2026.

Underlying inflation to continue rising moderately, amid solid wage growth: Although wage growth settlement in the 2026 *shunto* spring wage negotiation is likely to slow somewhat from the 2025 *shunto* on weaker earnings at large manufacturers, we still see solid wage in the low 3% range, supported by intensifying structural labor shortages. Against this backdrop, we expect labor-intensive service prices to rise and underlying inflation to gradually pick up. However, we expect core CPI (CPI excluding fresh food) and new core CPI (CPI excluding fresh food and energy) inflation to fall below 2% yoy toward mid-2026. This is because slowing food prices, the Takaichi administration's strengthened energy-related price control measures, and a decline in crude oil prices will likely be factors pushing down on prices.

Monetary policy reaching crucial stage for sustainable achievement of 2% Inflation:

We expect the BOJ to return to a semi-annual rate hike from the once-a-year pace in 2025. After the rate hike in December 2025, we expect the policy rate to reach 1% with a 25bp hike in July 2026. While we do not believe the BOJ is behind the curve, we think that the cost of delaying rate hikes is rising, as it could lead to underlying inflation overshooting 2%, triggered by factors like a weaker yen, with underlying inflation and inflation expectations now approaching 2%. Currently, we assume that the terminal rate is 1.5%, equal to the neutral rate level, but we believe that, in case rate hikes are delayed under the Takaichi administration, the BOJ would consequently need to raise the policy rate to a restrictive level exceeding the 1.5% neutral interest rate.

This will be a year to assess the impact of the Takaichi administration's**expansionary fiscal policy on fiscal soundness:** The Takaichi administration's

“responsible expansionary fiscal policy” has heightened concerns in financial markets about fiscal soundness, and the 10-year JGB yield has risen significantly. But, given that Japan's government debt-to-GDP ratio has continued to decline even after the supplementary budget, we don't think that the country's fiscal soundness has been undermined for now. The decline is primarily due to government interest payments lagging the recent increase in market rates. Our base case forecast anticipates that the ratio will stop decreasing in the long run as interest payments increase gradually. Against this backdrop, permanent tax cuts or permanent spending increases of a certain scale would accelerate the reversal and rise of the ratio consequently undermining fiscal soundness. Thus, in assessing medium- to long-term fiscal risk, it is crucial to monitor for the possibility and the size of permanent changes in taxes and spending by the Takaichi administration. As a further rise in market interest rates will also eventually lead to an increase in the government debt-to-GDP ratio, so securing market confidence and appropriate debt management policies will become even more important.

Exhibit 1: Solid Domestic Demand in Japan for 2026

Japan Economic Forecasts

	Calendar Year						Fiscal Year					
	2024	2025E	2026E	2027E	2028E	2029E	2024	2025E	2026E	2027E	2028E	2029E
Real GDP (YOY %)	-0.2	1.2	0.8	1.2	1.0	1.0	0.5	0.9	0.9	1.1	1.0	1.0
Consumption	-0.6	1.3	0.9	0.9	0.7	0.6	0.2	1.2	0.9	0.8	0.7	0.6
Capex	-0.1	1.6	1.2	2.4	2.9	3.3	0.9	1.6	1.3	2.6	3.0	3.5
Housing Investment	-1.0	-2.4	1.1	0.2	-0.5	-0.7	-0.7	-3.4	2.3	-0.3	-0.5	-0.8
Private Inventories (contribution)	-0.1	0.3	0.0	0.0	0.0	0.0	0.1	0.2	0.0	0.0	0.0	0.0
Export	0.9	3.1	-0.7	1.5	2.0	2.5	1.7	1.9	-0.3	1.6	2.1	2.7
Import	0.9	3.9	0.4	2.4	3.4	4.0	3.3	2.4	0.9	2.6	3.6	4.1
Government Spending	1.6	0.6	0.9	1.0	1.0	1.0	2.3	0.4	0.9	1.0	1.0	1.0
Public Fixed Investment	-1.8	-0.1	2.4	4.8	4.0	2.5	0.1	-0.3	3.4	4.7	3.6	2.3
Net Exports (cont.)	0.0	-0.1	-0.2	-0.2	-0.2	-0.2	-0.2	-0.1	-0.2	-0.2	-0.3	-0.2
Private Domestic Demand (cont.)	-0.4	1.2	0.7	0.9	0.9	0.9	0.3	1.0	0.8	0.9	0.9	0.9
Public Demand (cont.)	0.2	0.1	0.3	0.4	0.4	0.3	0.5	0.1	0.4	0.4	0.4	0.3
Nominal GDP (YOY %)	3.0	4.5	2.9	2.8	2.6	2.7	3.7	3.9	2.9	2.8	2.6	2.6
Industrial Production (YOY %)	-2.6	0.7	0.5	1.5	2.3	2.8	-1.4	0.5	0.7	1.7	2.5	2.8
Core CPI (YOY %)	2.6	3.1	1.6	1.9	1.8	1.7	2.7	2.8	1.6	1.9	1.8	1.7
New Core CPI (YOY %)	2.5	3.0	2.0	1.9	1.9	1.7	2.3	3.0	1.8	1.9	1.9	1.7
Global Core CPI (YOY %)	1.9	1.5	1.5	1.7	1.8	1.8	1.6	1.5	1.6	1.7	1.8	1.7
Unemployment Rate (%)	2.5	2.5	2.5	2.3	2.3	2.3	2.5	2.5	2.4	2.3	2.3	2.3
Current Account (¥ tn)	28.7	32.8	31.6	27.3	23.3	20.8	29.5	33.1	30.9	26.3	22.6	20.0
BOJ Policy Rate (End of Period; %)	0.25	0.75	1.00	1.50	1.50	1.50	0.50	0.75	1.25	1.50	1.50	1.50
2-year JGB yield	0.60	1.00	1.40	1.50	1.50	1.50	0.83	1.10	1.45	1.50	1.50	1.50
10-year JGB yield	1.09	1.70	2.00	2.00	2.00	2.00	1.49	2.00	2.00	2.00	2.00	2.00
USD/JPY (End of Period)	157.4	157.0	152.0	139.0	129.0	122.0	149.9	157.0	152.0	139.0	129.0	122.0
EUR/JPY (End of Period)	162.9	185.3	190.0	172.4	158.7	150.1	161.8	185.3	190.0	172.4	158.7	150.1

Source: Cabinet Office, MIC, MOF, BOJ, Goldman Sachs Global Investment Research

2026 Japan Economic Outlook: Steady Fundamentals, Policy Risks Ahead

Japan Economic Outlook: Steady Growth to Continue in 2026, Led by Domestic Demand

1. Looking for Consumption to Increase Gradually With Improvement in Real Income

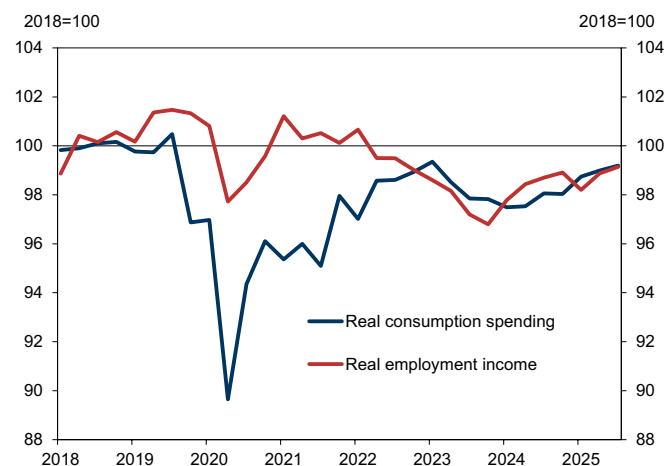
Real private consumption continued to increase gradually throughout 2025 ([Exhibit 2](#)). However, consumption has yet to recover to its pre-pandemic level. Excluding 2025Q1, which saw a large increase due to special factors discussed later, the pace of consumption growth has remained modest in 2025. This is partly due to the decline in real wage growth caused by accelerating inflation in 2025.

We forecast real private consumption to increase further in 2026 for two reasons. First, we expect the real wage growth rate, which has remained negative, to turn positive by mid-2026 ([Exhibit 3](#)). This is because we think the inflation rate in 2026 will decline significantly, owing partly to slowing food prices and the government's price-control measures (as we discuss later), and because we expect the *shunto* base wage growth rate to remain in the low 3% range in 2026, following +3.7% in 2025.

Second, we expect benefits and tax cuts and cash benefits, to be implemented from FY2026 by the Takaichi administration, could push up consumption growth in 2026 by slightly less than 0.1 pp. This is because the benefits and the tax cuts boost the aggregate disposable income by around ¥1.4 tn (0.4% of disposable income) in 2026.¹

Exhibit 2: Consumption Continues Gradual Recovery, But Still Below Pre-Pandemic Levels

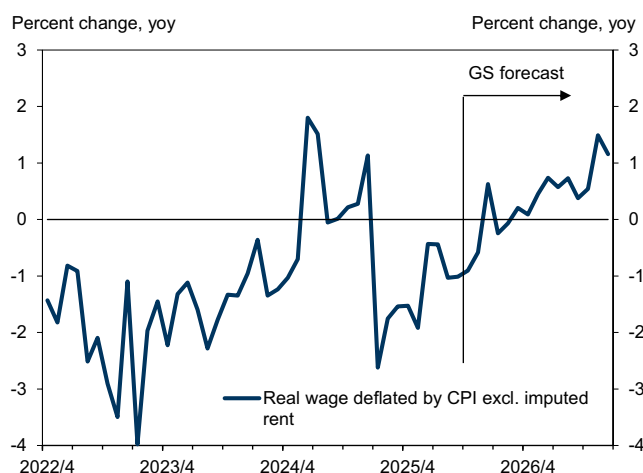
Real Consumption Spending and Real Employment Income



Source: Cabinet Office, Data compiled by Goldman Sachs Global Investment Research

Exhibit 3: Real Wage Growth Expected to Turn Positive by Mid-2026

Real Wage Growth



Source: MHLW, MIC, Goldman Sachs Global Investment Research

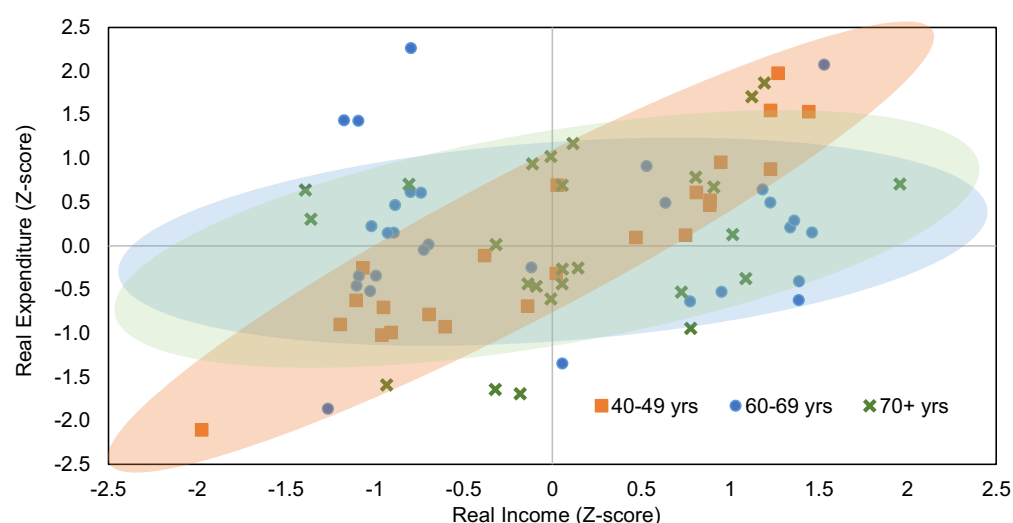
However, we think the pace of the recovery in consumption in 2026 will be relatively gradual for the following two reasons. First, households in their 60s and older, which

¹ ¥1.4 tn is coming from the government's rice coupons (including cash payments) of about ¥400 bn, benefits to support child-rearing households of about ¥350 bn, and income tax cuts of ¥650 bn by increasing non-taxable incomes.

account for over 50% of Japanese households, are less impacted by improvements in real wages because most of their income comes from non-wage sources (while we expect an increase in consumption for working households). Second, elderly households have high savings on average, and we note a tendency for consumption in households with high savings to be less affected by real income ([Exhibit 4](#)).

Note that the average private consumption growth rate for 2026 (our estimate) is expected to slow to 0.9%, from 1.4% in 2025, which appears inconsistent with the discussions above. We believe this is attributable to average real consumption in 2025 being significantly pushed up by the impact of special factors,² and does not necessarily reflect the actual trend in consumption. Most recently, real consumption growth in Q3 2025 was 0.7% qoq annualized, but we forecast that it will gradually accelerate along with the increase in real wages, reaching 1.0% in Q4 2026.

Exhibit 4: Consumption by Elderly Households Is Less Affected by Income Fluctuations



For income, we use the regular wage income of the head of household for those under 60, and real disposable income for those in their 60s as the majority of their income is from social security benefits (a similar scatter plot is obtained if disposable income is used for all). We used data from 1995 to 2017 to avoid the 2018 discontinuity. The distribution for households under 60 is similar to the distribution for the 40-49 age group.

Source: Ministry of Internal Affairs and Communications, Goldman Sachs Global Investment Research

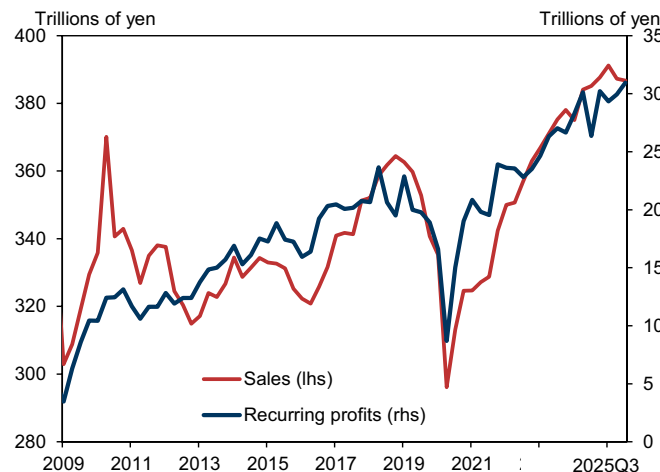
2. Capex to Continue Growing Moderately, Driven by Software Investment to Address Labor Shortages and R&D Spending

With corporate profits remaining high on the whole and business sentiment favorable, companies are maintaining their active capex plans, and capex is growing moderately ([Exhibit 5](#), [Exhibit 6](#)).

² The consumption growth rate in 2025 is inflated by the base effect from the temporary production stoppages at major automakers in 2024. In addition, services consumption in Q1 2025 may have been significantly inflated due to a change in the data collection method for the basic statistics used for the estimate (Survey of Selected Service Industries). This may have also pushed up the average consumption level for 2025, leading to an overestimation of the 2025 growth rate and an underestimation of the 2026 growth rate.

Exhibit 5: Corporate Profits Remain High on The Whole

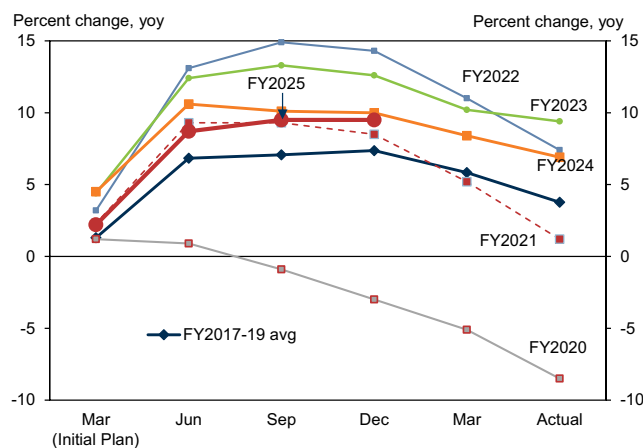
Corporate Sales and Recurring Profits



Source: Ministry of Finance

Exhibit 6: Companies Are Maintaining Active Capex Plans

Capex Plans for Each Fiscal Year (Excludes Land, Includes Software and R&D) and Annual Revision Patterns



Source: BoJ, Data compiled by Goldman Sachs Global Investment Research

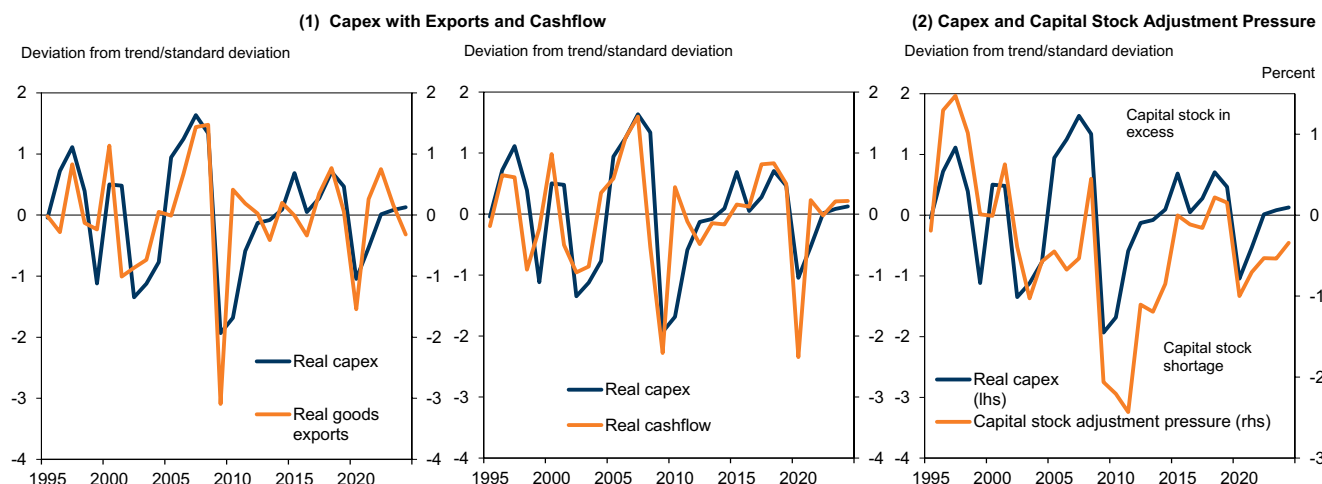
The current capex uptrend is now in its fifth year since beginning in 2021. If it follows the historical pattern of capex uptrends since the 1990s, which have averaged 4.5 years, it would not be surprising to see downward pressure on capex intensify going forward. Historically, changes in capex have been driven by two factors: changes in exports and the corporate profits derived from them, and the capital stock cycle influenced by capital stock shortages and excesses ([Exhibit 7](#)). At present, as far as the hard data are concerned, the impact of tariff hikes does not appear to have manifested itself to any significant degree, but if its impact appears in exports and profits going forward, the uptrend in capex could falter. In addition, while capital stock adjustment pressure has yet to be seen, as capex continues to increase, capital stock could eventually become excessive, leading to a downturn in the capital stock cycle. However, the current capex uptrend has three characteristics that distinguish it from past uptrends.

First, the drivers of capex have changed. In the past, machinery investment was the driver, but now software investment to address structural labor shortages is increasing meaningfully. Software investment has a high depreciation rate and the capital stock does not accumulate easily. In addition, R&D spending to maintain and improve competitiveness, and construction investment to address the aging of buildings, are also on the rise ([Exhibit 8](#)).

Second, order backlogs are growing amid tightening supply constraints due to the worsening labor shortage. We believe growth in order backlogs amid tighter supply constraints is likely to support capex for a relatively long period ([Exhibit 9](#)). Third, surplus funds (free cash flow) have increased to record highs even as capex continues to rise. This makes it less likely for lower profits to further constrain capex ([Exhibit 10](#)).

For these reasons, we believe that capex will continue to grow moderately.

Exhibit 7: Changes in Capex Have Typically Been Caused by Fluctuations in Exports and the Corporate Profits Derived From Them, and by Capital Stock Shortages/Excesses

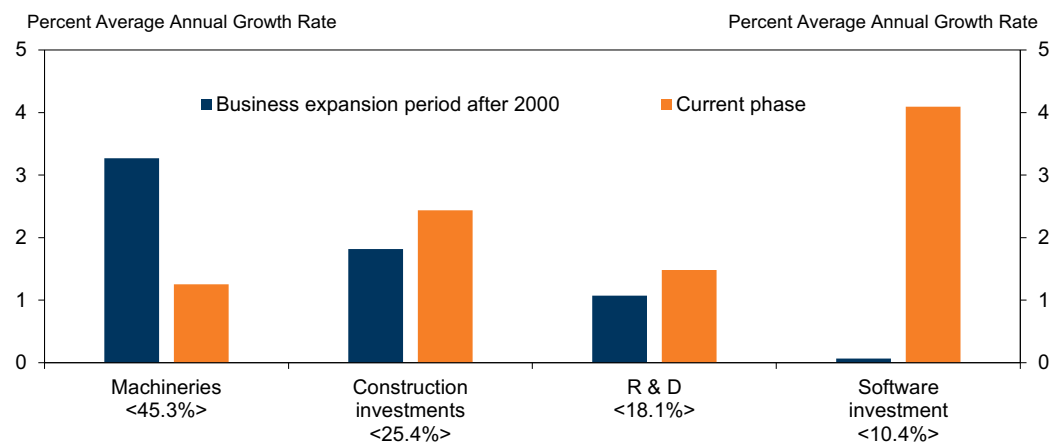


Capex, goods exports, and cash flow are calculated as the deviation from the trend (HP filter) divided by their respective standard deviations. They are based on all companies. Capital stock adjustment pressure is calculated as the rate of change in capital stock - trend growth rate of the capital-output ratio - expected growth rate. The trend growth rate of the capital-output ratio is calculated from the linear trend from 1994 to 2023, and the expected growth rate is the economic growth rate for the next three years forecast by Japanese corporates.

Source: Cabinet Office, Ministry of Finance, Goldman Sachs Global Investment Research

Exhibit 8: In the Current Phase, the Drivers of Capex Growth Have Changed From Traditional Machinery Investment to Software Investment, With R&D Spending and Construction Investment Also on the Rise

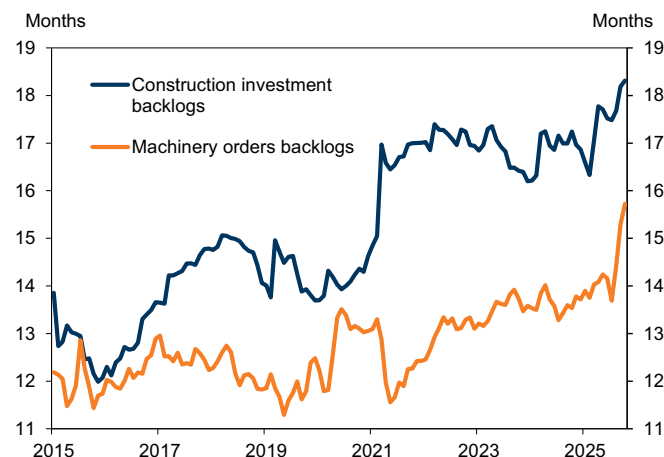
Average Annual Growth Rates of Machinery Investment, Construction Investment, R&D Spending, and Software Investment



Based on the (real) fixed capital matrix. The average annual growth rate in the current phase is the average from 2000 to 2023. The average annual growth rate in the economic expansion phase from 2000 is the average annual growth rate for three phases from bottom to peak (2002-2008, 2009-2011, 2011-2018). < > indicates the ratio to capex in 2023.

Source: Cabinet Office, Data compiled by Goldman Sachs Global Investment Research

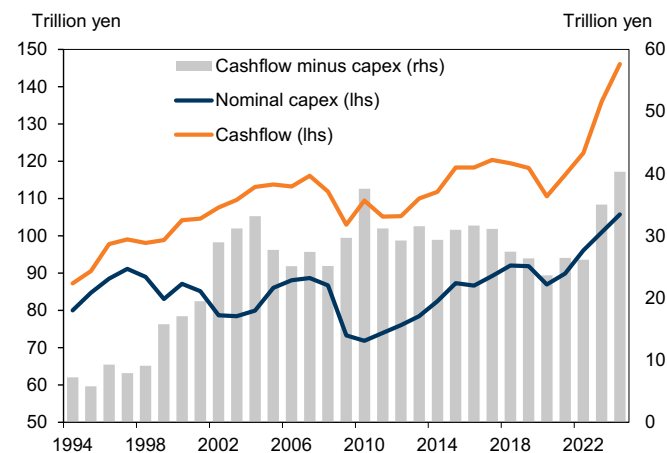
Exhibit 9: Supply Constraints Have Emerged Amid the Worsening Labor Shortage, Leading Order Backlogs to Build Up in Machinery and Construction Investment Work Backlog (in Months) for Construction and Machinery Orders



Months of work backlog for construction orders (based on the top 50 companies) is calculated as end-of-month backlog / average construction work performed in the past 12 months. Months of backlog for machinery orders is calculated as end-of-month backlog / average sales in the past three months.

Source: Cabinet Office, Ministry of Land, Infrastructure, Transport and Tourism, Data compiled by Goldman Sachs Global Investment Research

Exhibit 10: Surplus Funds (Free Cash Flow) Have Increased to Record Highs Even With Capex Rising
Cash Flow and Capex



Nominal values. Cash flow (SNA basis) is calculated as (operating surplus + net property income) x 0.5 + fixed asset depreciation. Cash flow for 2024 is calculated using the rate of increase in cash flow from 2023, based on the Ministry of Finance's Corporate Statistics Survey.

Source: Cabinet Office, Ministry of Finance, Data compiled by Goldman Sachs Global Investment Research

3. External Demand: Expecting Exports to Decelerate Slightly, Reflecting China Risks and Other Factors

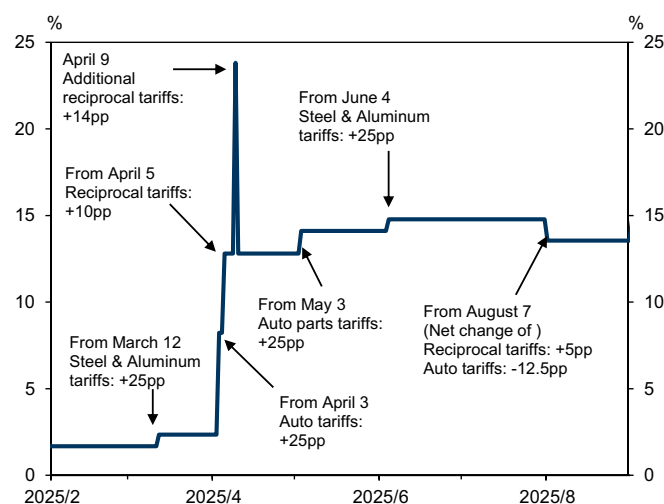
In considering Japan's export trends, in addition to global economic trends, we think it is necessary to consider two other risk factors: US tariff policy trends and China's trade trends. We assume that these two factors together will cause a slight deceleration in net exports in 2026, and based on this we forecast the contribution of external demand to GDP growth at -0.1 pp in CY2025 and -0.2 pp in CY2026. However, we will continue to monitor the situation, because we see China-related risks in particular as skewed to the downside.

Looking at US tariffs in more detail, the effective US tariff rate on Japan rose sharply after President Trump took office. Although the tariff rate on passenger cars fell following the Japan-US agreement on July 23, 2025, the reciprocal tariff rate rose to 15%, so the effective tariff rate remains at a high level (Exhibit 11).

However, export volume to the US has remained broadly flat even after the imposition of the Trump tariffs (Exhibit 12). This is likely due in part to Japanese exporters effectively absorbing the tariffs by lowering their USD-denominated export prices, thereby suppressing selling price increases in the US (Exhibit 13). Our estimate of the average export price to the US after tariff imposition has moved largely in line with the average export price to other countries (i.e. the relative price is nearly flat), suggesting that export prices to the US have fallen only by the amount of the additional tariffs.³

³ The fact that the average export price to the US declined by the additional tariff rate indicates that Japanese exporters lowered their export prices in many items. This is partly because the depreciation of the yen in 2H 2025 made it possible for exporters to lower export prices without sacrificing their corporate profits.

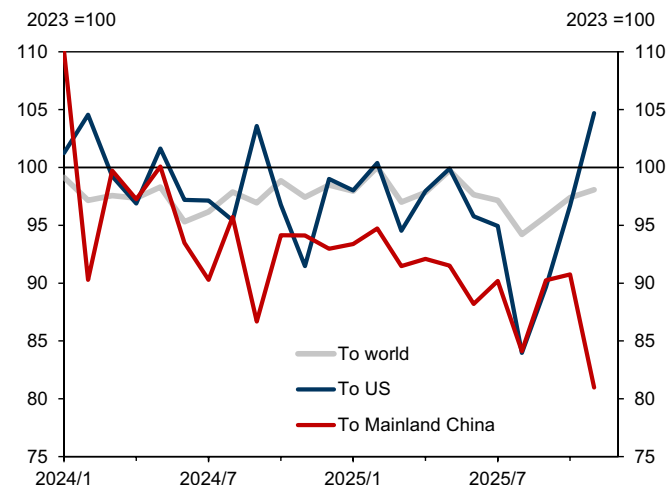
Exhibit 11: Effective US Tariff Rate on Japan Has Risen Sharply



Source: Goldman Sachs Global Investment Research

Exhibit 12: Export Volume to the US Has Been Broadly Flat on a Smoothed Basis Since Trump Tariffs, While Exports to China Are Trending Down

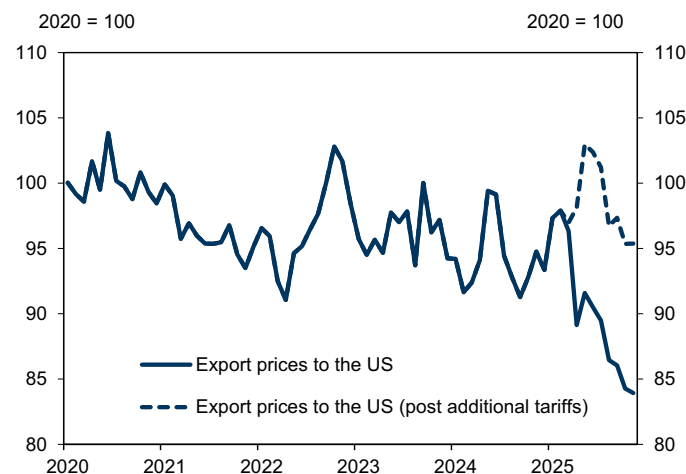
Seasonally Adjusted Export Volume by Country



Source: MOF, Data compiled by Goldman Sachs Global Investment Research

Exhibit 13: Export Prices to the US Fell Sharply, but Continue to Move in Line With Prices to Other Countries When Tariffs Are Considered

Relative USD-denominated Export Prices by Country (Export Prices to the US / Export Prices to the RoW)



Source: MOF, Goldman Sachs Global Investment Research

The second risk is “exported deflation” from China against a backdrop of oversupply, and a decrease in exports to China due to Japan-China tensions. We model that the resulting downward pressure on GDP is at most around -0.2 pp.

Regarding “exported deflation” from China, Japan’s import prices from China have fallen by nearly 20% since 2023 relative to imports from other countries (Exhibit 14). While it is conceivable that import prices from China could decline further, which would boost imports from China, we expect that this would likely be offset by a decrease in imports

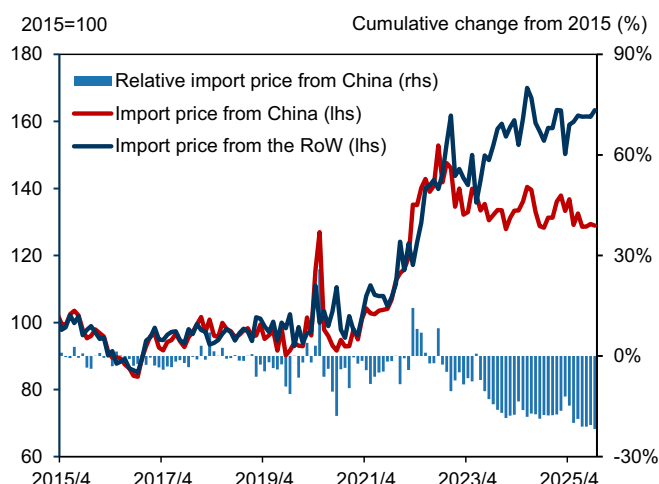
from other countries, resulting in no significant change in Japan's total import volume.⁴

Furthermore, if Chinese product prices competing with Japanese exports were to fall, we believe that Japanese exports to the US would not decline significantly.⁵ The overall macroeconomic impact would therefore be limited. However, exports of products that strongly compete with Chinese products, such as storage batteries and capacitors, may decrease.

The decrease in exports to China due to Japan-China tensions needs to be considered through two channels: a decrease in goods exports to China, and a decrease in tourists from mainland China and Hong Kong (a decrease in services exports to China). First, our base case scenario is that the impact would be limited to exports of consumer goods that do not affect China's supply chains. As consumer goods account for only 10% of Japanese total exports to China, even a 50% decline would likely have a limited impact on Japan's total goods exports of less than 1 pp (about -0.1 pp of GDP). However, if more extensive trade restriction measures were taken, e.g. on imports of rare earths from China, the impact on the Japanese economy could increase considerably.

Exhibit 14: Since 2023, the prices of imported goods from China have been 20% cheaper compared to goods from other countries

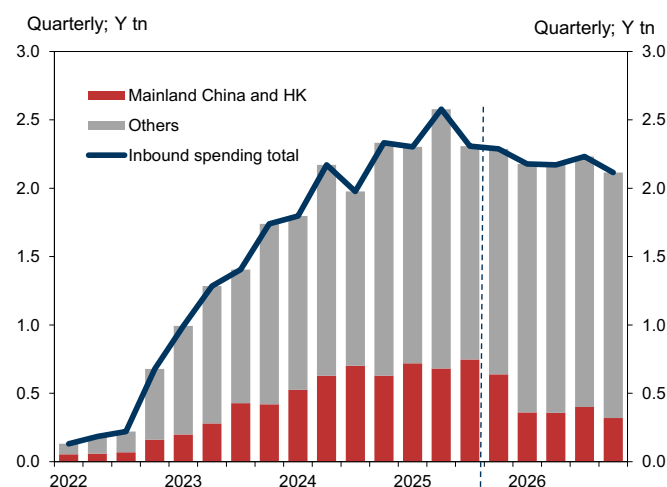
Average import prices from China and import prices of equivalent products from other countries



Source: MOF, Goldman Sachs Global Investment Research

Exhibit 15: Even if Tourists From Mainland China and Hong Kong Halve, the Overall Decrease in Japan's Inbound Consumption Is Limited

Consumption by Foreign Visitors to Japan



See footnote 6 for assumption of our estimation.

Source: BoJ, Goldman Sachs Global Investment Research

Second, regarding inbound tourists, we model that Japan's GDP growth could slow by about 0.1 pp based on the assumption that the number of tourists from mainland China

⁴ As major imports from China include mobile phones, PCs, apparel, and auto parts, items that are either not produced in Japan or for which domestic supply capacity is limited, it is unlikely that exports from China will significantly reduce demand for domestically produced goods.

⁵ The impact of "exported deflation" from China can also be estimated by using the results of our previous estimate of the windfall effect on Japanese exports from higher tariffs on China (this is because, assuming symmetry, the decrease in China's exports to the US due to higher tariffs and the increase in China's exports due to lower export prices can be estimated with the same model). In this estimate, even assuming an average price increase of around 30% for Chinese products destined for the US, Japan's exports to the US are estimated to increase by only about 0.7%, and it is likely that the impact of a decrease in Chinese product prices would be similarly small.

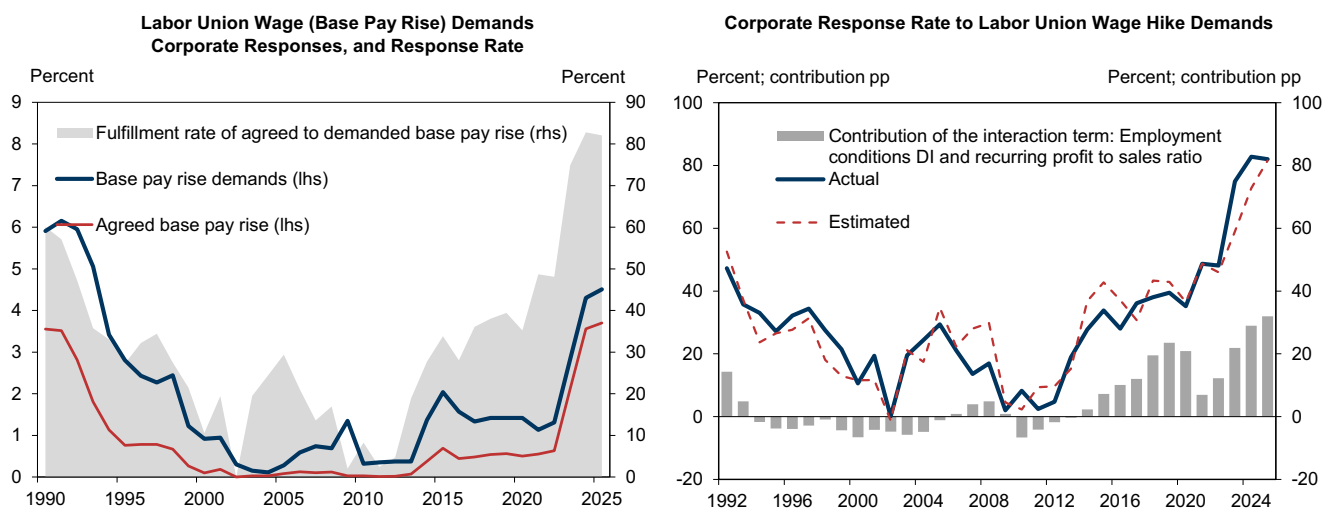
and Hong Kong halves.⁶ However, the decrease in tourists from mainland China and Hong Kong in December 2025, modeled from leading indicators, appears to be more minor than we had assumed (Exhibit 15).

Wage and Inflation: Underlying Inflation to Continue Rising Moderately, Amid Solid Wage Growth

Wage Outlook: 2026 Wage Growth to Slow on Weaker Earnings at Large Manufacturers, but Remain High, Supported by Intensifying Structural Labor Shortages

In *shunto* spring wage negotiations in recent years, labor unions have demanded high wage hikes in response to high inflation, and companies have responded with high wage increases amid growing labor shortages and high profits. A 3.7% base pay rise was achieved in 2025 (Exhibit 16). In the 2026 *shunto*, we expect wage hike demands by labor unions to rise slightly compared with 2025, as the inflation rate in 2025, which serves as the basis for those demands, has accelerated from 2024. We expect the corporate response to be somewhat lower than 2025, due to deteriorating earnings at large manufacturers, which set the tone. That said, we forecast a base pay rise in the low 3% range amid intensifying structural labor shortages (Exhibit 17).

Exhibit 16: In Recent Years, Substantial Wage Hikes Have Been Achieved as the Corporate Response Rate to Labor Union Demands Has Risen Sharply, Against a Backdrop of Rising Labor Shortages, High Profits, and Stronger Wage Hike Demands From Labor Unions



Results of a regression of the response rate on a constant, inflation expectations at the end of the previous year, an interaction term between the previous year's ratio of recurring profits to sales (all industries) and the previous year's employment conditions DI, and the change in the ratio of recurring profits to sales from two years prior to the previous year. In addition, dummy variables were used as explanatory variables: one for 2003–2005 (set to 1), when management indicated it would not shy away from wage cuts, and another for 2021 (set to 1), when a state of emergency was declared. All coefficients are significant at the 99% level, with an R-squared of 0.88.

Source: JTUC-RENGO, Goldman Sachs Global Investment Research

⁶ According to our South Korea economists, the number of Chinese tourists to South Korea fell by 60% during the period of heightened tensions between China and South Korea in 2016–2017. Following this precedent, we assume that the number of visitors from mainland China (and Hong Kong) to Japan could decrease by -50%. However, we assume that half of the decline in visitors from mainland China and Hong Kong would be offset by an increase in domestic tourists and travelers from other countries. For details, please refer to the related report.

Exhibit 17: We Believe a Base Pay Rise in the Low 3% Range Could Be Achieved in the 2026 Shunto

Union Demands, Corporate Response Rates, and Agreement in the 2025 and 2026 Shunto

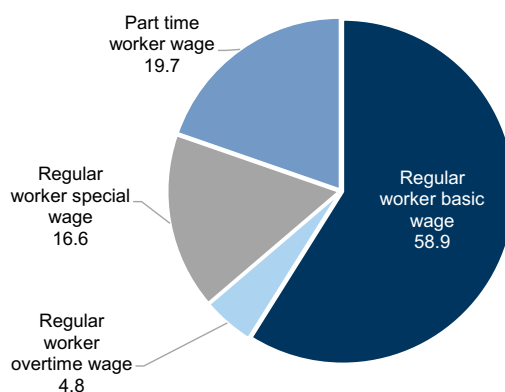
	Wage Hike Request (Unions)	Reply Ratio	Wage Hike Agreement
2025 (actual)	4.5%	82%	3.7%
2026 (GS estimate)	4.6%	68-76%	3.2-3.5%

Source: JTUC-RENGO, Goldman Sachs Global Investment Research

Of the macro wages received by workers, basic wages for regular employees (full-time workers) account for just under 60% (nearly 50% of these workers have their basic wages determined by the *shunto* base pay rise, 35% by labor supply/demand, and 16% are greatly affected by government social security policies). In addition, overtime and special wages⁷ for regular workers and wages for part-time workers account for just over 40% ([Exhibit 18](#)). Based on the outlook for 2026's *shunto*, future labor supply/demand, and government social security policies, we forecast that macro wage growth in 2026 will remain in the upper 2% range, at 2.6%, the same as in 2025 (January-October actual).⁸

Exhibit 18: Basic Wages for Regular Workers Account for Just Under 60% of Total Cash Wages, While Overtime Wages and Special Wages for Regular Workers and Wages for Part-Time Workers Account for Just Over 40%

Share of Total Cash Wages by Employment Format and Wage Type (2024)



Source: Ministry of Health, Labor and Welfare, Data compiled by Goldman Sachs Global Investment Research

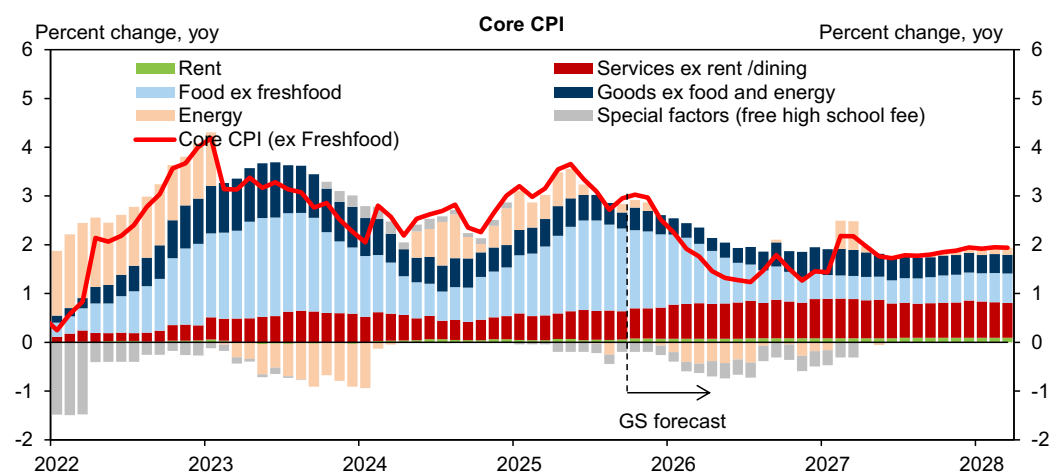
⁷ Special wages are linked to corporate profits. As we expect corporate profits in 2026 to worsen, mainly for large manufacturers due to US tariff hikes, special wages in 2026 are likely to face downward pressure. However, in Japan, winter and summer bonuses are often determined as a single package. For a considerable number of companies, next year's summer bonus will be decided based on this year's corporate profits. Therefore, we assume here that the growth rate for 2026 special wages will be half that of 2025.

⁸ Although basic wage, which is determined by the *shunto* base pay rise, and special wage growth will likely slow, we expect that basic wages in industries susceptible to labor supply/demand and wages for part-time workers will see high growth, amid a minimum wage hike of over 6% and intensifying labor shortages. For this reason, we expect macro wage growth to be on par with 2025.

Prices: Government-Engineered Disinflation to Offset Yen Depreciation-Driven Inflation

In 2025, the inflation rate rose sharply, with core CPI (excludes fresh food) forecast at 3.1% yoy (our estimate), well above 2.5% in 2024, as food prices soared, particularly for rice. However, we maintain our forecast that the inflation rate will slow significantly in 2026, with both core CPI and new core CPI (excludes fresh food and energy) falling below 2% by mid-year. The main negative contributors we expect in 2026 are slowing food prices, the Takaichi administration's strengthened price control measures for energy prices, and a decline in crude oil prices, while positive contributors include the weaker yen and a rise in services prices supported by the aforementioned firm wage growth.

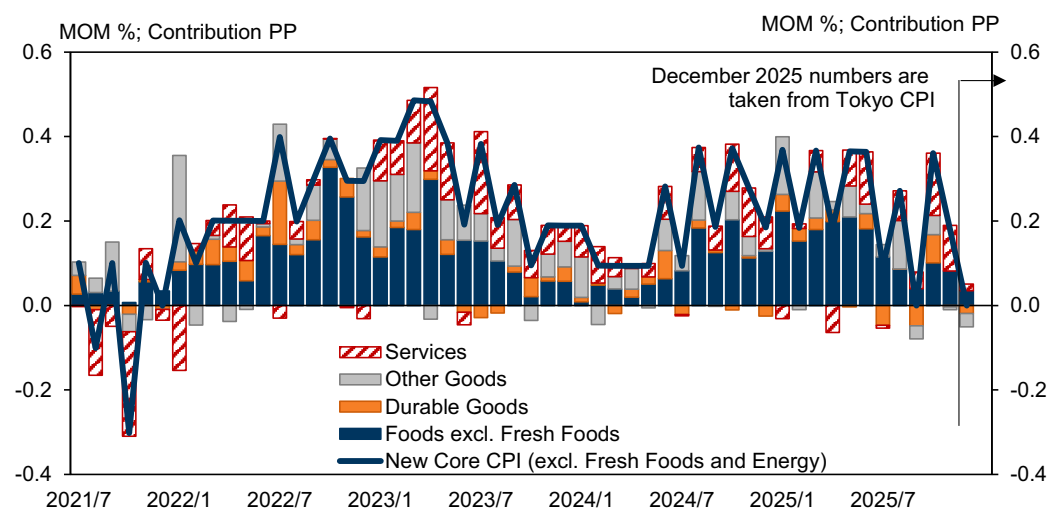
Exhibit 19: We Expect Core CPI Growth to Slow to Below 2% Going Forward



To simplify the exhibit, special factors related to energy prices are not shown separately and are included in the contribution from energy prices.

Source: MIC, Goldman Sachs Global Investment Research

Exhibit 20: MoM Increase in New Core CPI Suggests Food Inflation Has Run Its Course



Source: MIC, Goldman Sachs Global Investment Research

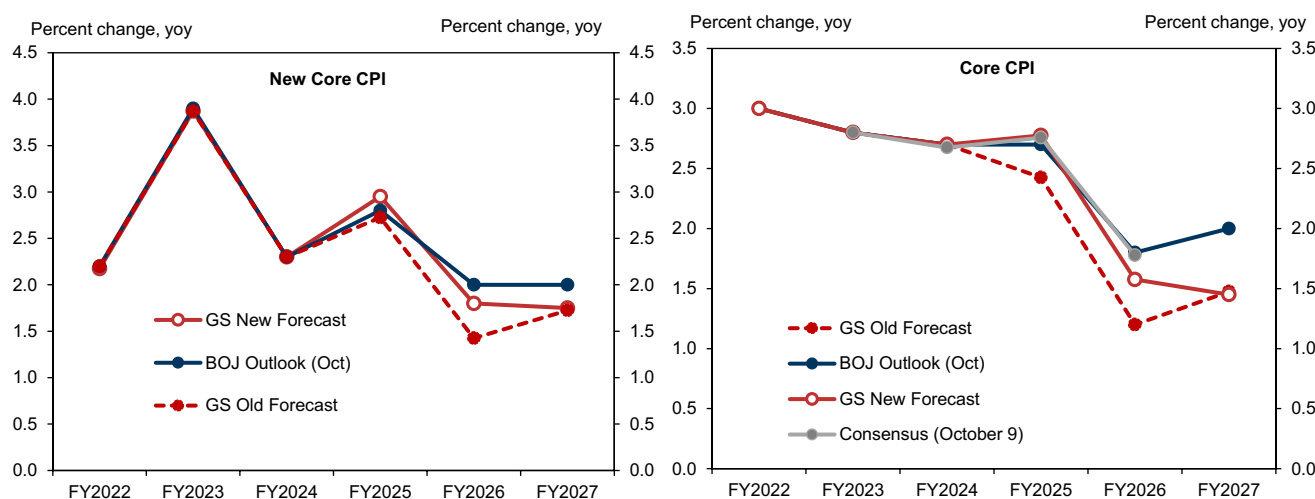
The surge in food prices peaked in mid-2025, as is clear from the mom growth rate in Exhibit 20, and we expect the yoy growth rate to continue to decline. However, due to

the weaker yen and persistently high rice prices, the slowdown in food inflation is increasingly likely to be moderate.

In addition, we expect many price control measures to be introduced in 2026, which will likely curb the inflation rate. Permanent measures, including the elimination of the provisional gasoline tax rate (already implemented) and the shift to effectively free private high school tuition and elementary school lunches (both from April 2026), are expected to have a combined negative contribution of over 0.5 pp to core CPI, a non-negligible impact. Even if a further weakening of the yen were to push up inflation, the Takaichi administration would likely respond by strengthening price control measures⁹, thereby suppressing the risk of an upside surprise to inflation in 2026.

The following is a comparison of our old and new inflation forecasts reflecting these factors. The negative contribution from the price control measures announced by the Takaichi administration is offset by the positive contribution from our forex research team's revised forecast for a weaker yen than previously anticipated, leaving our FY2026 forecast largely unchanged. The upward revision for FY2027 is mainly due to the shift in our 12-month forex forecast in a weaker-yen direction.

Exhibit 21: FY2026 Forecast Largely Unchanged as Weaker Yen and Strengthened Price Controls Offset Each Other



Source: MIC, BOJ, JCER, Goldman Sachs Global Investment Research

It should be noted that in August 2026, there will be a base-year revision that changes the CPI estimation method¹⁰, and the CPI from January 2026 onward will be retroactively revised. The estimation methodology for the new index is scheduled to be disclosed around late July, with retroactively revised historical data to be released in mid-August.

Monetary Policy: We Expect the BOJ to Revert to a Semiannual Pace of Hikes

The Bank of Japan (BOJ) decided at its December 2025 Monetary Policy Meeting (MPM)

⁹ For example, the electricity and gas price control measures scheduled to begin in February 2026 and end in April could be re-implemented in the summer of 2026.

¹⁰ This will include changes to the weights of each item based on 2025 consumption values, replacement of items, and changes to the estimation methodology for each item.

to raise the policy rate by 0.25 pp for the first time in about a year since January 2025, to 0.75%. The BOJ stated that it sees a high likelihood that solid wage hikes will continue in 2026's wage negotiations, which it has been closely watching, and that the mechanism in which both wages and prices rise moderately will be maintained. In addition to these reasons, we believe the December rate hike was also aimed at responding to the yen's depreciation, against a backdrop of heightened vigilance toward the upside risk to prices caused by the recent weak yen.

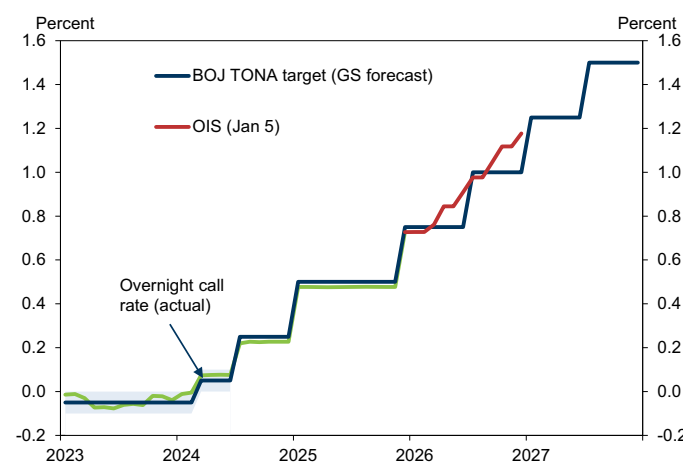
Even after the December rate hike, the BOJ maintained its previous policy stance that “given that real interest rates are at significantly low levels”, “the Bank, in accordance with improvement in economic activity and prices, will continue to raise the policy interest rate and adjust the degree of monetary accommodation.”

The BOJ sees the economic growth rate weakening temporarily, due to factors such as the impact of US tariff hikes, and the inflation rate slowing to below 2%, due to factors such as a slowdown in food prices. However, it expects both the growth rate and inflation rate to subsequently pick up. Based on this and the mechanism whereby a virtuous cycle between the economy and prices strengthens under a high-pressure economy of intensifying labor shortages owing to population decline, we think the key questions are at what pace the BOJ will continue hiking, and how high it will raise the policy rate. The influence of the Takaichi administration on the BOJ is also an important consideration.

In short, we believe it is appropriate to maintain our previous forecast as our base case scenario (Exhibit 22). We think the BOJ will continue to raise the policy rate, at a pace of roughly every six months to 1.5%, which we assume is the neutral rate. In other words, after resuming hiking in December 2025, we look for it to raise again in July 2026, January 2027, and July 2027, to reach 1.5%.

Exhibit 22: The BOJ Resumed Hiking in December 2025, and We Expect Semi-annual Hikes Going Forward, Reaching a Neutral Rate of 1.5% in July 2027

Policy Rate Path and OIS



Source: Bloomberg, BoJ, Goldman Sachs Global Investment Research

At the press conference following the December 2025 MPM, BOJ Governor Kazuo Ueda explained that the rate hikes to date have not exerted a strong tightening effect on the economy, prices, or financial conditions, but have merely weakened the degree of

accommodation slightly. We interpret this explanation as suggesting that the BOJ will proceed with further rate hikes beyond the lower end of the neutral rate range (1-2.5%) it has indicated so far. Based on that assumption, we maintain our forecast that the BOJ's rate hikes will revert from the current once-a-year pace to the pace of once every six months seen before the announcement of the Trump tariffs. The current pace reflects the BOJ's concerns about the negative impact of the major shock from US tariff hikes from a risk management perspective. Going forward, as this impact recedes, we believe the pace will return to the twice-a-year rate seen before the tariff announcement.

Another reason we think the pace of rate hikes will accelerate is that while we do not believe the BOJ is behind the curve, the risk of it falling behind the curve appears to be increasing as underlying inflation and medium- to long-term inflation expectations approach the 2% target. Previously, because medium- to long-term inflation expectations and underlying inflation were far from 2%, the cost of a premature rate hike was seen as greater than the cost of delaying one. However, with underlying inflation and inflation expectations now approaching 2%, we think that the cost of delaying rate hikes is rising, as it could lead to underlying inflation overshooting 2%, triggered by factors like a weaker yen, through companies' more aggressive price-setting behavior. For this reason, we believe the BOJ hiked in December 2025 from the perspective of addressing the yen's weakness, even though the USD/JPY rate was below what is seen as its defense line of around ¥160/US\$ (the BOJ's defense line for the USD/JPY rate appears to have been lowered from its previous level).

Our view on the timing of the next rate hikes is as follows. The BOJ aims to achieve 2% inflation stably, with both wages and prices rising. For this reason, in addition to the *shunto* wage hikes cited as a reason for the December rate hike, it emphasizes wage growth at small and medium-sized (SMEs), which are not covered by *shunto*. In this regard, wage increases for SMEs are decided toward the summer, with reference to the *shunto* results and wage hike trends of rival companies. Therefore, as the BOJ can confirm SME wage hike trends from surveys in July, we think the next rate hike will be in July 2026. While there was a slight difference in the timing for confirming wage increase momentum in the *shunto* negotiations between the most recent policy rate hike and the previous one, with the 2025 *shunto* confirmed in January 2025 and the 2026 *shunto* in December 2025, we believe it is generally easier to judge *shunto* wage momentum in January, since a wider range of information, such as labor union wage demands and large companies' wage hike stances, can be gathered. We therefore view July and January as the optimal times to decide on a rate hike from the perspective of closely watched wage trends.

The Government and Monetary Policy

The administration led by Prime Minister Sanae Takaichi, a proponent of Abenomics, increases the uncertainty surrounding our rate hike view. However, we remain cautiously optimistic about the BOJ's ability to continue raising interest rates and its independence for four reasons.

First, current conditions surrounding financial markets, the economy, and inflation are significantly different from those at the start of Abenomics (Exhibit 23). The economic and price situation has improved substantially compared with then. Moreover, the yen has weakened considerably from around ¥80/US\$, and share prices, as measured by the

Nikkei 225, have reached 4X the level of that period. For these reasons, there is now little need to implement large-scale monetary easing like Abenomics, in our view.

Exhibit 23: Financial, Economic, and Price Conditions Are Significantly Different Now Than at the Start of Abenomics

Economic and Financial Markets at the Start of Abenomics vs. Now

	Prior to Abenomics (2012)	Current (2025 YTD)
Output Gap (% of GDP)	-1.2	0.2
Inflation Rate (Core CPI)	-0.1	3.1
USDJPY Exchange Rate	79.8	146.3
Nikkei 225 Index	9,108	41,758

The output gap for 2025 is the January–September average, the inflation rate is the January–November 2025 average.

Source: Ministry of Internal Affairs and Communications, Cabinet Office, BoJ, Nikkei Shimbun, Data compiled by Goldman Sachs Global Investment Research

Second, Prime Minister Takaichi’s stance on monetary policy is in line with the Bank of Japan Act. She has stated that “while the government determines the direction of fiscal and monetary policy, the means of monetary policy are decided by the BOJ,” and that “it is important for the BOJ policy to be in step with the government’s economic policy.” However, these statements do not deviate from Article 4 of the Bank of Japan Act, which defines the relationship with the government in terms of monetary policy: “Taking into account the fact that currency and monetary control is a component of overall economic policy, the Bank of Japan must always maintain close contact with the government and exchange views sufficiently, so that its currency and monetary control and the basic stance of the government’s economic policy are mutually compatible.”

Third, PM Takaichi has said that she is not considering amending the joint statement between the BOJ and the government, which sets out the 2% inflation target. Furthermore, she has not commented on specific monetary policies. For these reasons, although uncertainty exists, as long as her current stance continues, we find it difficult to imagine a situation where there would be excessive intervention in monetary policy or a threat to the BOJ’s independence.

Fourth, a weaker yen could act as a catalyst for a rate hike. We believe the December 2025 rate hike was made possible in part by gaining the Takaichi administration’s understanding of the need for a hike to counter yen weakness, amid yen depreciation attributed to the administration’s expansionary fiscal policy. Looking ahead, as long as the administration maintains its expansionary fiscal policy, yen depreciation pressure is likely to persist, and we believe this will provide a tailwind for rate hikes.

For the reasons above, we believe the BOJ will continue raising the policy rate, under the Takaichi administration. That said, should consistency with the administration’s economic policy come under severe scrutiny over time, rate hikes could be delayed or the pace of hikes could slow. In that case, it is conceivable that yen depreciation pressure would increase and the risk of the BOJ falling behind the curve would rise significantly. Currently, we assume that the terminal rate is equal to the neutral rate level, but in such a case, the policy rate would need to be raised to a restrictive level exceeding the 1.5% neutral interest rate.

Keeping these possibilities in mind, we will continue to pay close attention to the Takaichi administration's stance on monetary policy. In this regard, we believe that who the Takaichi administration chooses to succeed the two Policy Board members whose terms expire successively in 2026 (Member Asahi Noguchi and Member Junko Nakagawa) will be a litmus test for the administration's stance on monetary policy. Regardless of who is chosen, the remaining board members who have supported Governor Ueda's proposal to raise interest rates are likely to hold roughly the same stance as the Governor, so there should be no major impact on the voting outcomes at MPMs. However, we believe the choices will have important implications for considering the pace of BOJ rate hikes and the terminal rate under the Takaichi administration.

Fiscal Policy: Short-Term Soundness Maintained Despite Takaichi Administration's Fiscal Expansion, but Medium- to Long-Term Risks Are Rising

Prime Minister Takaichi has pursued an expansionary fiscal policy since taking office. Immediately after the administration's launch, it brokered a cross-party agreement to abolish the provisional tax rates on gasoline and light oil, and the FY2025 supplementary budget, enacted on December 16, 2025, amounted to 2.8% of GDP (¥18.3 tn), the largest since the COVID-19 pandemic. Against this backdrop, in the financial markets, growing expectations of a Bank of Japan rate hike, coupled with concerns about fiscal soundness, have pushed the 10-year JGB yield up by about 0.4 pp since the Takaichi administration took office, and it is currently hovering in the 2% range for the first time since 2006.

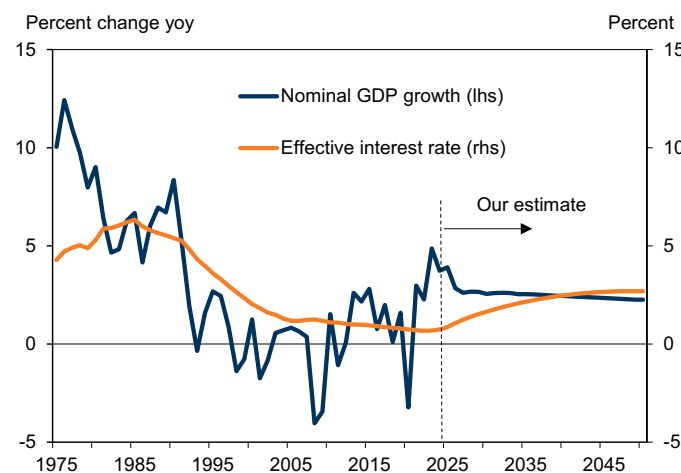
However, we do not believe that this series of fiscal policies will immediately undermine Japan's fiscal soundness. This is because the government debt-to-GDP ratio, one of the major indicators of fiscal soundness, has continued to decline in Japan—in contrast to other developed countries—and is expected to continue falling even after accounting for this fiscal year's supplementary budget and next fiscal year's initial budget.

The continued decline in the government debt-to-GDP ratio, despite the ongoing primary deficit, is due to the so-called “ $r - g$ effect ($r - g$ differential).” The “ $r - g$ effect” refers to the “natural decline” in the government debt-to-GDP ratio that occurs when the government's interest payment rate (r) (interest payments ÷ outstanding government debt), which is the growth rate of the numerator, is lower than the nominal GDP growth rate (g), the growth rate of the denominator. In Japan, the gap between the interest payment rate (FY2025: 0.8%) and the GDP growth rate (same period: 3.9%) has widened to its largest level since 1980, and as a result, the natural decline in the government debt-to-GDP ratio has recently averaged about -7 pp per year. For this reason, it can be said that the current Japanese economy is in a “bonus stage,” where fiscal soundness is not easily undermined even with fiscal deficits.

However, this “bonus stage” is unlikely to last long. The current low government interest payment rate is because interest expenses on government bonds issued during the era of ultra-low interest rates are locked in at low levels. As low-coupon bonds mature and are refinanced at higher interest rates, the government interest payment rate will rise, and the gap with nominal GDP growth (our forecast) will move toward zero in 10-15 years. Accordingly, the “natural decline” in the government debt-to-GDP ratio is also expected to disappear.

Exhibit 24: “Bonus Stage,” the First Since 1980, Is Expected to Shrink in Coming Years

Nominal GDP Growth Rate and Effective Interest Rate



Source: Cabinet Office, Goldman Sachs Global Investment Research

The long-term trend of this “ $r - g$ effect” suggests that while fiscal-related risks are small in the short term, they are significant in the medium to long term. To clarify this point, we conduct two types of risk scenario analyses for the government debt-to-GDP ratio below.

First, as the base case scenario, the **dark blue line in Exhibit 26** represents the long-term forecast for the government debt-to-GDP ratio, based on the interest payment and growth rate forecasts in [Exhibit 24](#) and our primary balance forecast. In our base case forecast, we look for the primary balance to remain in a slight surplus of less than 1% of GDP ([Exhibit 25](#)), owing to factors such as increased tax revenue from sustained inflation. Even after incorporating the FY2025 supplementary budget and the FY2026 initial budget, the government debt-to-GDP ratio continues its gradual decline.

As the first risk scenario, the **gray dashed line in Exhibit 26** shows the government debt-to-GDP ratio estimated under the assumption that the government proceeds with permanent tax cuts (abolition of consumption tax on food¹¹) and permanent spending increases (increase in defense spending to 3% of GDP) in the medium to long term without securing alternative revenue sources. This suggests that the government debt-to-GDP ratio would shift to a long-term upward trend, and fiscal soundness would be undermined. Although not shown in [Exhibit 26](#), if only one of these policies in the first risk scenario were implemented, the rise in the government debt-to-GDP ratio would be limited within the forecast period.

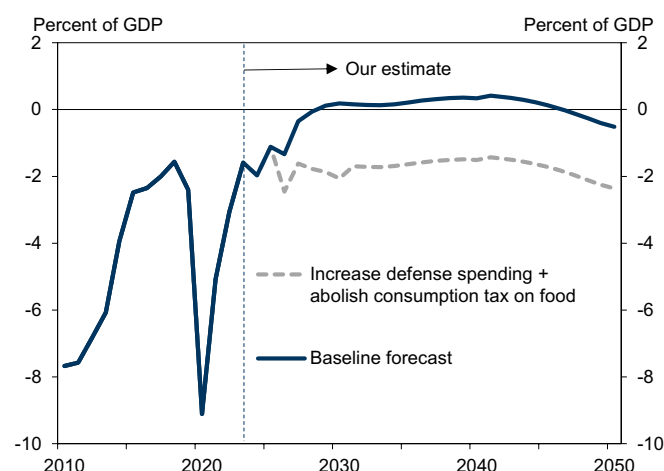
The second risk scenario is a rise in JGB yields due to a loss of market confidence. Our base case estimate is premised on our forecast that the 10-year JGB market yield will remain flat at 2.0%, but current JGB forward rates suggest that the market expects further increase in interest rates. Therefore, if we estimate future government interest

¹¹ Prime Minister Takaichi has stated that she “wants to keep the consumption tax rate on food items at zero forever,” under the assumption that a permanent revenue source of ¥5 tn is available. (Jiji Press, November 11, 2025).

payment rates based on current forward rates¹², the period of “natural decline” in the debt-to-GDP ratio shortens, and a “natural increase” in the debt ratio begins in the 2040s (i.e., it shifts to an upward trend), as shown by the **green line in Exhibit 26**. Based on this estimate, in the 2040s when the government debt-to-GDP ratio begins to rise, even a primary surplus of about 2% of GDP would not be able to halt the rise in the debt-to-GDP ratio caused by the “natural increase.” This suggests that market confidence itself is crucial for long-term fiscal soundness.

Exhibit 25: Primary Balance Would Worsen Significantly in the Event of Permanent Spending Increases or Tax Cuts

Primary Balance Simulation by Fiscal Scenario

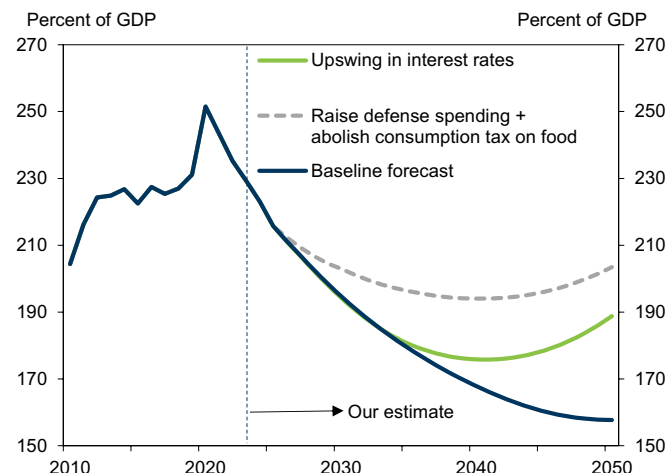


The deterioration in the primary balance we model in the 2040s is due to two factors: (1) a decline in the labor force, which will slightly weigh on GDP growth, and (2) an accelerated increase in the population of late-stage elderly (75 years and older), pushing up medical costs.

Source: Cabinet Office, Goldman Sachs Global Investment Research

Exhibit 26: Permanent Tax Cuts, Permanent Spending Increases, or a Significant Rise in Interest Rates Would All Change the Trend in the Government Debt-to-GDP Ratio

Debt-to-GDP Ratio Simulation by Scenario



A rise in interest rates does not immediately lead to an increase in the government debt-to-GDP ratio (the green line) due to the time lag before government interest payments rise, and because a rise in medium- to long-term interest rates also leads to an increase in government interest income through the interest income of public pension funds.

Source: Cabinet Office, Goldman Sachs Global Investment Research

These scenario analyses present two important policy implications from the perspective of medium- to long-term fiscal risk management.

The first is the importance of managing revenue and expenditure from the perspective of maintaining medium- to long-term fiscal soundness. The first risk scenario shows that what is important for medium- to long-term fiscal risk management is not temporary spending increases such as supplementary budgets, but permanent changes in revenue and expenditure. The reason our base case forecast (dark blue line in [Exhibit 26](#)) shows an improvement in the government debt-to-GDP ratio even after incorporating the Takaichi administration's series of fiscal policies is largely because both permanent tax cuts and permanent spending increases are limited at present¹³.

However, this base case forecast does not take into account factors such as an increase

¹² While it is necessary to be mindful of the discrepancy between forward rates and future expected spot rates due to the existence of a risk premium, we have ignored this issue for the sake of simplicity in this report's estimates.

¹³ As for substantial permanent tax cuts, the main ones are the elimination of provisional tax rates on gasoline and light oil (an annual tax revenue decrease of about 0.2% of GDP) and the income tax cut proposed in the FY2026 tax reform outline (a tax revenue decrease of about 0.1% of GDP). These alone are not expected to be enough to significantly change the future trend of the government debt-to-GDP ratio.

in defense spending beyond 2% of GDP or the budgetary measures required for the 17-field growth strategy advocated by the Takaichi administration, and in this sense, the spending risks are skewed to the upside. We expect details on defense spending to be revealed in the so-called three security-related documents scheduled for revision around the end of 2026, and details on the growth strategy to be disclosed in the Basic Policies for Economic and Fiscal Management and Reform to be released in the summer of 2026 (2025's was released on June 13, 2025). We anticipate that market attention will shift to these topics.

The second is that the perspective of debt management policy will become increasingly important. It is still fresh in memory that since last summer, the demand for super-long-term JGBs from life insurers, who had been major buyers, was satisfied, leading to a sharp rise in super-long-term interest rates. In the future, as the amount of JGB issuance continues to increase, it will become even more important to avoid sharp rises in JGB yields by formulating JGB issuance plans that flexibly respond to market trends¹⁴ and by diversifying the JGB holder base. This is crucial for maintaining government debt sustainability through the stability of interest payments.

Exhibit 27: Calendar of Main Events

2026

Mid-Jan	Ordinary Diet Session (Budget Deliberation)
Jan 22-23	BOJ Monetary Policy Meeting (Outlook Report)
Mid-Mar	JTUC-Rengo Announces 2026 Shunto 1st Data Collection
End-Mar	FY2026 Budget Established
Apr 27-28	BOJ Monetary Policy Meeting (Outlook Report)
Mid-Jun	Ordinary Diet Session Ends
June?	Basic Policies for Economic and Fiscal Management and Reform
Jul 30-31	BOJ Monetary Policy Meeting (Outlook Report)
Aug	CPI Base Year Change
Oct 29-30	BOJ Monetary Policy Meeting (Outlook Report)
Nov 3	US Mid-Term Election
Late Dec	FY2027 Tax Reform Plan
Late Dec	FY2027 Budget Proposals To Be Approved by the Cabinet

Reference: Long-term Events

Sep-end 2027	LDP President's Term Ends (Ms. Takaichi)
Mar 19, 2028	Term Ends for Uchida and Himino BOJ Deputy Governors (1 term 5 years)
Apr 8, 2028	BOJ Governor Ueda's 1st Term Ends (1 term 5 years)
Jul 2028	Upper House Election (Half seats reelected; every 3 years)
Jul 2028	Tokyo Mayor Election (1 term 3 years)
Oct 2028	Lower House Term Ends (if no dissolution; term 4 years)
Nov 2028	US Presidential Election

Source: Nikkei, BOJ, Goldman Sachs Global Investment Research

¹⁴ In June 2025, the Ministry of Finance revised its JGB issuance plan, which it had previously not changed during the fiscal year except when compiling supplementary budgets. It reduced the issuance amount of super-long-term JGBs, where interest rates were rising, while increasing issuance in the short- to medium-term zones, where rates were generally stable. We expect there will be opportunities to revise the issuance plan mid-year in the future, pointing to increased flexibility of debt management policy.

Main Economic Forecasts

	Calendar Year						Fiscal Year					
	2024	2025E	2026E	2027E	2028E	2029E	2024	2025E	2026E	2027E	2028E	2029E
Real GDP (YOY %)	-0.2	1.2	0.8	1.2	1.0	1.0	0.5	0.9	0.9	1.1	1.0	1.0
Consumption	-0.6	1.3	0.9	0.9	0.7	0.6	0.2	1.2	0.9	0.8	0.7	0.6
Capex	-0.1	1.6	1.2	2.4	2.9	3.3	0.9	1.6	1.3	2.6	3.0	3.5
Housing Investment	-1.0	-2.4	1.1	0.2	-0.5	-0.7	-0.7	-3.4	2.3	-0.3	-0.5	-0.8
Private Inventories (contribution)	-0.1	0.3	0.0	0.0	0.0	0.0	0.1	0.2	0.0	0.0	0.0	0.0
Export	0.9	3.1	-0.7	1.5	2.0	2.5	1.7	1.9	-0.3	1.6	2.1	2.7
Import	0.9	3.9	0.4	2.4	3.4	4.0	3.3	2.4	0.9	2.6	3.6	4.1
Government Spending	1.6	0.6	0.9	1.0	1.0	1.0	2.3	0.4	0.9	1.0	1.0	1.0
Public Fixed Investment	-1.8	-0.1	2.4	4.8	4.0	2.5	0.1	-0.3	3.4	4.7	3.6	2.3
Net Exports (cont.)	0.0	-0.1	-0.2	-0.2	-0.2	-0.2	-0.2	-0.1	-0.2	-0.2	-0.3	-0.2
Private Domestic Demand (cont.)	-0.4	1.2	0.7	0.9	0.9	0.9	0.3	1.0	0.8	0.9	0.9	0.9
Public Demand (cont.)	0.2	0.1	0.3	0.4	0.4	0.3	0.5	0.1	0.4	0.4	0.4	0.3
Nominal GDP (YOY %)	3.0	4.5	2.9	2.8	2.6	2.7	3.7	3.9	2.9	2.8	2.6	2.6
Industrial Production (YOY %)	-2.6	0.7	0.5	1.5	2.3	2.8	-1.4	0.5	0.7	1.7	2.5	2.8
Core CPI (YOY %)	2.6	3.1	1.6	1.9	1.8	1.7	2.7	2.8	1.6	1.9	1.8	1.7
New Core CPI (YOY %)	2.5	3.0	2.0	1.9	1.9	1.7	2.3	3.0	1.8	1.9	1.9	1.7
Global Core CPI (YOY %)	1.9	1.5	1.5	1.7	1.8	1.8	1.6	1.5	1.6	1.7	1.8	1.7
Unemployment Rate (%)	2.5	2.5	2.5	2.3	2.3	2.3	2.5	2.5	2.4	2.3	2.3	2.3
Current Account (¥ tn)	28.7	32.8	31.6	27.3	23.3	20.8	29.5	33.1	30.9	26.3	22.6	20.0
BOJ Policy Rate (End of Period; %)	0.25	0.75	1.00	1.50	1.50	1.50	0.50	0.75	1.25	1.50	1.50	1.50
2-year JGB yield	0.60	1.00	1.40	1.50	1.50	1.50	0.83	1.10	1.45	1.50	1.50	1.50
10-year JGB yield	1.09	1.70	2.00	2.00	2.00	2.00	1.49	2.00	2.00	2.00	2.00	2.00
USD/JPY (End of Period)	157.4	157.0	152.0	139.0	129.0	122.0	149.9	157.0	152.0	139.0	129.0	122.0
EUR/JPY (End of Period)	162.9	185.3	190.0	172.4	158.7	150.1	161.8	185.3	190.0	172.4	158.7	150.1

	2025				2026				2027			
	1Q	2Q	3Q	4QE	1QE	2QE	3QE	4QE	1QE	2QE	3QE	4QE
Real GDP (QOQ Annualized %)	1.5	2.1	-2.3	1.3	1.0	1.2	1.1	1.2	1.1	1.2	1.1	1.1
Consumption	2.9	1.0	0.8	0.7	0.9	1.0	1.0	1.0	0.8	0.8	0.7	0.7
Capex	0.9	5.4	-0.8	0.8	0.8	1.5	1.8	2.0	2.5	2.8	2.8	2.8
Housing Investment	-0.2	1.7	-29.0	15.0	7.0	5.0	1.0	0.0	0.0	-0.5	-0.5	-0.5
Private Inventories (contribution)	2.3	-0.1	-0.5	0.2	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Export	-0.4	8.0	-4.9	-2.5	-2.0	1.0	1.0	1.5	1.5	1.5	1.8	1.8
Import	9.9	5.7	-1.8	-1.3	-0.8	2.0	2.0	2.3	2.5	2.5	2.8	2.8
Government Spending	-1.2	1.4	0.6	0.8	0.9	1.0	1.0	1.0	1.0	1.0	1.0	1.0
Public Fixed Investment	-0.4	0.2	-4.2	3.5	3.0	3.5	4.5	5.0	5.0	5.0	4.5	4.5
Net Exports (cont.)	-1.6	0.4	-0.6	-0.2	-0.2	-0.2	-0.2	-0.1	-0.2	-0.2	-0.2	-0.2
Private Domestic Demand (cont.)	3.6	1.5	-1.4	1.2	0.9	1.0	0.9	0.9	0.9	0.9	0.8	0.9
Public Demand (cont.)	-0.2	0.2	0.0	0.3	0.3	0.4	0.4	0.4	0.4	0.4	0.4	0.4
Real GDP (YOY %)	1.6	2.0	0.6	0.7	0.5	0.3	1.2	1.1	1.2	1.2	1.2	1.1
Consumption	1.4	1.4	1.2	1.4	0.9	0.8	0.9	1.0	0.9	0.9	0.8	0.7
Capex	1.6	2.2	1.0	1.6	1.5	0.6	1.2	1.5	1.9	2.3	2.5	2.7
Housing Investment	0.9	1.6	-7.5	-4.6	-2.9	-2.1	6.9	3.2	1.5	0.1	-0.3	-0.4
Export	4.2	6.0	2.4	-0.1	-0.5	-2.1	-0.6	0.4	1.2	1.4	1.6	1.6
Import	6.2	4.8	1.5	3.0	0.4	-0.5	0.5	1.4	2.2	2.3	2.5	2.6
Government Spending	1.9	0.0	0.3	0.4	0.9	0.8	0.9	1.0	1.0	1.0	1.0	1.0
Public Fixed Investment	1.2	0.7	-1.6	-0.2	0.6	1.4	3.6	4.0	4.5	4.9	4.9	4.7
Nominal GDP (YOY %)	5.3	5.3	4.1	3.5	3.0	2.3	3.4	2.9	3.0	2.9	2.7	2.8
Industrial Production (YOY %)	1.1	0.9	0.7	0.2	0.5	0.2	0.5	0.8	1.2	1.4	1.6	1.8
Core CPI (YOY %)	3.1	3.5	2.9	2.9	2.0	1.4	1.5	1.4	1.9	1.8	1.8	1.9
New Core CPI (YOY %)	2.7	3.2	3.2	3.0	2.5	1.9	1.8	1.7	1.7	1.9	1.9	2.0
Global Core CPI (YOY %)	1.5	1.6	1.5	1.4	1.4	1.4	1.5	1.6	1.8	1.7	1.6	1.7
Unemployment Rate (%)	2.5	2.5	2.5	2.5	2.5	2.5	2.4	2.4	2.4	2.3	2.3	2.3
Current Account (¥ tn)	7.3	6.7	10.8	7.9	7.7	8.2	7.8	7.8	7.1	7.1	6.7	6.5
BOJ Policy Rate (End of Period; %)	0.50	0.50	0.50	0.75	0.75	0.75	1.00	1.00	1.25	1.25	1.50	1.50
2-year JGB yield (End of Period)	0.83	0.75	0.94	1.00	1.10	1.25	1.35	1.40	1.45	1.45	1.50	1.50
10-year JGB yield (End of Period)	1.49	1.43	1.64	1.70	2.00	2.00	2.00	2.00	2.00	2.00	2.00	2.00
USD/JPY (End of Period)	149.9	144.2	148.0	157.0	157.0	155.0	153.0	152.0	152.0	148.0	143.0	139.0
EUR/JPY (End of Period)	161.8	169.7	173.6	185.3	185.3	186.0	188.2	190.0	190.0	185.0	178.8	172.4

Source: Cabinet Office, MIC, MOF, BOJ, Goldman Sachs Global Investment Research

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